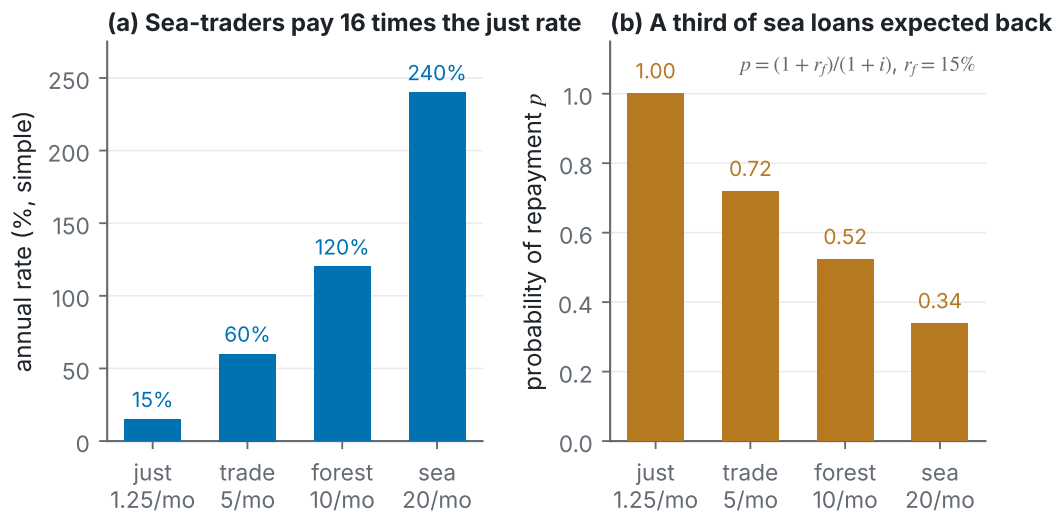
(a) Sea-traders pay 16 times the just rate
annual rate (%, simple)
250
200
150
100
50
0
15%
60%
120%
240%
just
1.25/mo
trade
5/mo
forest
10/mo
sea
20/mo
(b) A third of sea loans expected back
probability of repayment p
$p = (1 + r_f)/(1 + i),\ r_f = 15\%$
1.00
0.72
0.52
0.34
1.0
0.8
0.6
0.4
0.2
0.0
just
1.25/mo
trade
5/mo
forest
10/mo
sea
20/mo